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Candidate surname	Other names	Centre Number	Candidate Number
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Pearson Edexcel

Level 3 GCE

Predicted Paper — Hard

Synoptic paper. Two case-study sections combining micro and macro.

Morning (Time: 2 hours)

Paper Reference 9EC0/03

Economics A

Hard

Paper 3: Microeconomics and Macroeconomics

You do not need any other materials.

Total Marks: 100

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are two sections in this question paper. Answer ALL questions from Section A and Section B.
- In each section, answer Questions (a) to (c), and EITHER Question (d) OR Question (e).
- Answer the questions in the spaces provided – there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

(50 marks)

Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

Read the following extract and study the figure before answering Question 1.

Answer ALL Questions 1(a) to 1(c), and EITHER Question 1(d) OR Question 1(e).

Figure 1: UK output per hour worked (annual % change) and business investment (% of GDP), 2015–2025

Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Productivity growth (%)	1.0	0.8	0.9	0.5	0.3	-1.2	1.5	0.1	-0.3	0.2	0.4
Business investment (% of GDP)	17.4	17.0	17.2	17.6	17.1	15.9	16.1	17.3	18.2	17.8	17.5

(Source: adapted from Office for National Statistics productivity estimates and Office for Budget Responsibility Economic and Fiscal Outlook, 2025.)

Extract A — The UK's productivity puzzle

The UK's productivity growth has averaged barely 0.4% per year since the 2008 financial crisis, compared with roughly 2.2% in the decade before it. Business investment as a share of GDP has been persistently lower than in France, Germany and the United States over the same period. Despite a tight labour market and a return to near-full employment by 2022, real wages in 2025 were barely higher than in 2008.

Analysts cite a range of explanations: weak capital deepening (too little machinery, buildings and intangible assets per worker), low public investment in infrastructure and R&D, skills mismatches, a long tail of low-productivity firms, and the lingering effects of Brexit on trade, migration and business uncertainty. The post-pandemic rise in economic inactivity among workers aged over 50, and persistently weak management practices in the long tail of firms, have also been identified as structural problems.

Supporters of recent policy responses — including full expensing of capital investment, an expanded apprenticeship levy and targeted R&D tax credits — argue that business investment has recovered above 18% of GDP in 2023 and that gains will take time to feed through. Critics argue that the tax and regulatory environment remains unstable, planning constraints limit commercial construction, and the lack of patient long-term capital continues to hold back scale-ups. Weak productivity growth, they warn, implies weaker real wages, higher unit labour costs, higher structural inflation pressure, and a worsening fiscal outlook as GDP growth fails to deliver the tax revenues assumed in public spending plans.

(Source: adapted from ONS productivity bulletins, the Institute for Fiscal Studies, the Resolution Foundation and the Productivity Institute, 2025.)

1 (a) With reference to Figure 1, calculate the simple average annual rate of UK productivity growth between 2015 and 2025 inclusive. Show your working and briefly comment on the result in the context of Extract A. **(5)**

1 (b) With reference to Extract A and an aggregate demand and aggregate supply diagram, discuss the likely macroeconomic effects of sustained weak productivity growth on UK real wages and the long-run inflation rate. **(12)**

1 (c) Examine the advantages of using public investment in infrastructure and R&D, rather than cuts in corporation tax, as a means of raising UK business productivity. **(8)**

Answer EITHER Question 1(d) OR Question 1(e).

1 (d) Evaluate the microeconomic and macroeconomic factors the UK government should consider when designing a policy package to reverse the UK's long-running productivity stagnation by 2030. **(25)**

1 (e) With reference to the information provided and your own knowledge, evaluate the likely microeconomic and macroeconomic effects on the UK economy of a sustained rise in business investment to 20% of GDP by 2030. **(25)**

TOTAL FOR SECTION A = 50 MARKS

SECTION B

(50 marks)

Answer ALL questions. Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

Read the following extract and study the figure before answering Question 2.

Answer ALL Questions 2(a) to 2(c), and EITHER Question 2(d) OR Question 2(e).

Figure 2: UK public sector net debt (% of GDP) and 10-year gilt yield (%), 2015–2025

Year	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Public net debt (% of GDP)	80.5	82.1	83.0	83.2	83.5	94.0	94.8	98.5	97.2	97.9	98.6
10-year gilt yield (%)	1.8	1.3	1.3	1.4	0.8	0.2	0.8	3.3	4.2	4.0	4.3

(Source: adapted from Office for National Statistics, HM Treasury and Bank of England, 2025.)

Extract B — UK fiscal sustainability and the cost of borrowing

UK public sector net debt has risen from around 80% of GDP in 2015 to almost 99% by 2025, driven by the financial crisis legacy, the pandemic response and the energy-price support package of 2022–2023. Ten-year gilt yields, which had fallen to historic lows during the 2020 quantitative-easing programme, rose sharply following the September 2022 “mini-budget” and have remained elevated despite the subsequent fall in headline inflation.

The Bank of England has reversed its asset-purchase programme, moving from quantitative easing to quantitative tightening, selling gilts back into the market. This has coincided with a structural rise in global real interest rates. For the UK Treasury, this combination has sharply increased debt-servicing costs: debt interest as a share of total tax revenue has reached its highest level since the 1980s, crowding out other spending.

Supporters of tighter fiscal rules argue that lower debt provides insurance against future shocks, reduces the risk premium on UK borrowing and gives monetary policy more room to stabilise the economy. Critics argue that aggressive fiscal consolidation would damage the recovery, weaken long-run growth through cuts to public investment, and that — under certain conditions — growth-enhancing public spending can be self-financing. They point out that advanced economies with their own currency and deep capital markets can sustain relatively high debt ratios provided growth exceeds the effective real interest rate ($g > r$).

(Source: adapted from Office for Budget Responsibility, HM Treasury, Bank of England and Institute for Fiscal Studies, 2025.)

2 (a) With reference to Figure 2, explain the relationship between UK public sector net debt and the 10-year gilt yield between 2015 and 2025. **(5)**

2 (b) Examine the likely effects on UK government finances of the rise in the 10-year gilt yield from 0.8% in 2021 to 4.3% in 2025. Use a bond price / bond yield diagram to support your answer. **(8)**

2 (c) With reference to Extract B, discuss the likely microeconomic and macroeconomic effects on UK firms and households of a sustained rise in long-term interest rates. **(12)**

Answer EITHER Question 2(d) OR Question 2(e).

2 (d) Evaluate the microeconomic and macroeconomic effects on the UK economy of a sustained rise in the 10-year gilt yield above 5%. **(25)**

2 (e) With reference to the information provided and your own knowledge, evaluate the case for the UK government adopting binding fiscal rules to reduce public sector net debt below 80% of GDP by 2035. **(25)**

TOTAL FOR SECTION B = 50 MARKS

TOTAL FOR PAPER = 100 MARKS

END